Railways was a ‘strategic asset’ but ‘in deep trouble for long’. The Lok Sabha adopted the resolution. The Railways has not paid any dividend for the past four years. The year 2020–21 turned out to be the worst, with the Railways forced to keep its passenger business largely suspended on account of COVID-19. Instead of expecting any dividend on investments of over Rs 10 lakh crore made in the Railways, the government had to give a special loan of Rs 90,000 crore to keep the Railways afloat.

National Highways Authority of India (NHAI) is also a continuously loss-making organization. As it keeps its own commercial system of accounting, the loss it incurs every year remains unknown. Every expenditure incurred in constructing roads is capitalized and no depreciation is charged. NHAI has been monetizing some road assets through the Toll, Operate and Transfer (TOT) system. It has stated that it would also adopt the system of transferring road assets to infrastructure investment trusts (INVITs). However, how much capital loss it makes on each TOT or INVIT transfer remains completely opaque. The government funds NHAI by transferring part of the infrastructure and road cess collected. What is quite clear is that fund transfer to NHAI has been a one-way street. NHAI has never and is never expected to pay any dividend on the equity provided by the government.

PSBs used to make dividend payment to the Government of India until 2015–16, in the days when the practice of evergreening NPAs was the norm. After the asset quality review in 2016, when the true state of non-performing loans came up, PSBs went into large losses. They have paid no dividend to the government since 2017–18. Instead, the government has been putting more and more money into them by using the recapitalization route.

The short point is that the equity investments made by the government in the past couple of years are going to public enterprises that are neither generating growth for the country nor any returns to the government. These